

BUSINESS AND ECONOMIC INSIGHTS - PRC 3

COMPLETE CHAPTER-WISE SUMMARY, KEY CONCEPTS, AND MCQS FOR ICAP
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CHAPTER 1: NATURE OF BUSINESS

SUMMARY

Business is an organization that strives to earn profit by providing goods and services desired by customers. Goods are tangible (laptops, clothing), while services are intangible (banking, healthcare).

Key concepts:

- Revenue: Money earned from selling goods/services
- Costs: Expenses incurred (rent, salaries, supplies)
- Profit: Money remaining after covering all costs
- Loss: When costs exceed revenues

Not-for-profit organizations exist for objectives other than profit (charities, hospitals, NGOs).

VISION, MISSION, GOALS, AND OBJECTIVES HIERARCHY

Level	Description
Vision	Future aspiration - "what we want to become"
Mission	Current purpose - "why we exist"
Goals	General aims
Objectives	Specific, measurable targets (SMART)
Strategies	Long-term plans
Tactical Plans	Medium-term implementation
Operational Plans	Day-to-day actions

CORE VALUES

Fundamental beliefs guiding business operations: Integrity, Accountability, Customer Focus, Excellence, Respect, Teamwork, Sustainability.

STAKEHOLDERS

Category	Examples
Internal	Employees, Managers/Directors
Connected	Shareholders, Customers, Suppliers, Creditors, Labour Unions
External	Government, Community, Environmental Groups

MENDELOW'S MATRIX

Tool for categorizing stakeholders based on interest and power levels.

IMPORTANT ICAP EXAM CONCEPTS

1. Difference between Goods and Services - Tangible vs. Intangible
 2. Vision vs. Mission Statement - Future vs. Present focus
 3. SMART Objectives - Specific, Measurable, Achievable, Relevant, Time-bound
 4. Stakeholder Categories - Internal, Connected, External
 5. Factors of Production - Land, Labor, Capital, Enterprise
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CHAPTER 1 MCQS

1. A business is an organization that strives for _____ by providing goods and services desired by its customers.
 - a) Profit ☒
 - b) Satisfaction
 - c) Efficiency
 - d) All of the above
2. Which of the following is NOT considered a factor of production?
 - a) Land
 - b) Labor
 - c) Marketing
 - d) Capital
3. The Board of Directors' decisions can be influenced by:
 - a) Opinion of customers
 - b) Knowledge of the business
 - c) Employee feedback
 - d) Opinion of shareholders ☒
4. Which of the following are NOT external stakeholders?

- a) Managers ☒
- b) Government
- c) Local communities
- d) Environmental groups

5. TRUE or FALSE: The general public has a stake in major companies because actions of these companies can affect society.

- a) TRUE ☒
- b) FALSE

6. Why does the government have an interest in business organizations?

- a) Businesses pay tax on profits
- b) Government wants to encourage investments
- c) Government regulates business activity
- d) All of the above ☒

7. _____ provide the raw materials, goods, or services that a business needs to operate.

- a) Suppliers ☒
- b) Creditors
- c) Government
- d) Business entities

8. How does an employee's performance affect the business?

- a) Influences marketing strategy
- b) Directly affects productivity and profitability ☒
- c) Has no impact on financial success
- d) Mainly affects customer satisfaction

9. Which is NOT a reason for government interest in business?

- a) Businesses pay taxes on profits
- b) Government wants to encourage investments
- c) Government seeks to reduce business profitability ☒
- d) Government is interested in job creation

10. What is the primary stake of shareholders?

- a) Employee satisfaction
- b) Profitability to increase share value and receive dividends ☒
- c) Minimize environmental impact
- d) Monitor customer satisfaction

11. How can shareholders influence major business decisions?

- a) By providing feedback on employee performance
- b) Through voting rights ☒

- c) By managing day-to-day operations
- d) By controlling marketing strategy

12. Which are NOT internal stakeholders?

- a) Mr. Masood who owns 20% shares of the company
- b) Executive directors
- c) Finance managers
- d) Supplier of machinery ☒

13. A _____ describes the organization's basic function in society.

- a) Vision statement
- b) Mission statement ☒
- c) Strategy
- d) Objective

14. A _____ focuses on the future and describes what an organization plans to become.

- a) Vision statement ☒
- b) Mission statement
- c) Goal
- d) Objective

15. Key questions to answer when developing a mission statement include:

- a) What is our business?
- b) What is our value to the customer?
- c) What will our business be?
- d) All of the above ☒

16. _____ are people who combine inputs of natural resources, labor, and capital to produce goods/services.

- a) Factory labor
- b) Employees
- c) Directors
- d) Entrepreneurs ☒

17. What sets a mission statement apart from a vision statement?

- a) Current vs. future context ☒
- b) Length
- c) Importance
- d) Complexity

18. Which does NOT affect an employee's stake in the business?

- a) Job security
- b) Stock options ☒

- c) Fair wages
 - d) Career progression opportunities
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CHAPTER 2: OWNERSHIP OF BUSINESS

SUMMARY

TYPES OF BUSINESS ORGANIZATIONS

1. Sole Proprietorship

- Single owner, no legal formalities
- Full control, unlimited liability
- Profit belongs entirely to owner

2. Partnership

- 2-20 owners (except professionals)
- General Partnership: Unlimited liability for all partners
- Limited Partnership: At least one general partner (unlimited) and limited partners (limited to investment)
- Limited Liability Partnership (LLP): Partners not personally liable

3. Limited Company/Corporation

- Separate legal identity from owners
- Limited liability for all owners
- Shareholders own the company
- Directors govern the company
- Private vs. Public Limited Companies

ADVANTAGES AND DISADVANTAGES COMPARISON

Type	Advantages	Disadvantages
Sole Proprietorship	Easy formation, secrecy, full control, fewer regulations, lower taxation	Unlimited liability, difficulty raising funds, limited skills, lack of continuity
Partnership	More funds, combined skills, flexibility, less regulatory burden	Unlimited liability (general), complexity in sharing, potential conflicts
Corporation	Limited liability, easy transfer, unlimited life, easier access to capital	Higher cost, double taxation, greater regulatory compliance

LAWS GOVERNING BUSINESS IN PAKISTAN

- Companies Act, 2017 - SECP regulates companies
 - Partnership Act, 1932 - Governs partnership firms
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IMPORTANT ICAP EXAM CONCEPTS

1. Limited Liability - Owners only lose invested amount
 2. Double Taxation - Corporate profits taxed + dividends taxed as personal income
 3. Going Public - Private company becomes public through IPO
 4. Corporate Structure: Shareholders → Board of Directors → Officers/Management
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CHAPTER 2 MCQS

1. An entrepreneurial organization is managed by its entrepreneurial owner. Which is a feature?
 - a) Board of Directors takes all decisions
 - b) Formal management structure exists
 - c) Operations are complex for single owner
 - d) None of the above ☒
2. _____ is the process of dividing activities efficiently to enable cooperative activities of two or more persons.
 - a) Business
 - b) A company
 - c) Process
 - d) Organization ☒
3. No legal formalities are needed to set up which business?
 - a) Sole Proprietor ☒
 - b) Partnership
 - c) Private Limited Company
 - d) None of the above
4. Clubs, NGOs, Cooperatives, and Public Sector organizations are all:
 - a) Social Organizations
 - b) Not-for-Profit Organizations ☒
 - c) Revenue Organizations
 - d) Social Sector Organizations
5. A business co-owned by two or more persons is a _____. The co-owners are called _____.
 - a) Firm, partnership
 - b) Partnership, firm ☒
 - c) Partnership, shareholders
 - d) Firm, proprietors

6. In a general partnership:

- a) All partners are owners
- b) Assets divided as per agreement
- c) All partners have unlimited liability
- d) All of the above ☒

7. Shareholders elect _____ to govern and handle overall management.

- a) Board of Directors ☒
- b) Board of Stakeholders
- c) Council
- d) Committee

8. TRUE or FALSE: Limited partners do not participate in management but share in profits.

- a) TRUE ☒
- b) FALSE

9. TRUE or FALSE: The main feature of a limited company is separate legal identity from owners.

- a) TRUE ☒
- b) FALSE

10. Companies pay income tax on profits AND dividends paid to shareholders are taxed as personal income. This is called:

- a) Double regulation
- b) Double taxation ☒
- c) Unlimited taxation
- d) Unlimited liability

CHAPTER 3: ORGANIZATION OF BUSINESS

SUMMARY

ORGANIZATIONAL STRUCTURES

1. Entrepreneurial Structure

- Owner takes all decisions
- No formal management structure
- Simple operations

2. Functional Structure

- Groups people with similar skills (Marketing, Finance, HR, Operations)
- Simple to understand, enables specialization
- May cause interdepartmental conflict

3. Divisional Structure

- Divisions based on: Products, Customers, Processes, or Geography

- Each division has functional expertise
- More responsive to changes

4. Matrix Structure

- Dual reporting relationships
- Combines functional and project structures
- Employees report to line manager AND project manager

5. Virtual Organization

- No physical existence
- Uses IT systems and outsourcing
- Core competence is key

KEY ELEMENTS OF ORGANIZATIONAL STRUCTURE

Element	Description
Departmentalization	Grouping activities into units (Functional, Product, Geographic, Customer, Process)
Chain of Command	Unbroken line of authority from top to bottom
Span of Control	Number of subordinates a manager can effectively manage
Levels of Management	Top, Middle, Lower/Supervisory
Centralization/Decentralization	Where decisions are made
Work Specialization	Division of labor

TALL VS. FLAT STRUCTURES

Feature	Tall Structure	Flat Structure
Span of Control	Narrow	Wide
Management Layers	Many	Few
Work Specialization	High	Low

Decision-making	Centralized	Decentralized
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GLOBALIZATION

- Integration of economies, cultures, markets worldwide
- Multinational Organizations operate in multiple countries
- Emerging Markets offer growth opportunities

IMPORTANT ICAP EXAM CONCEPTS

1. Span of Control - Wide vs. Narrow
 2. Centralized vs. Decentralized - Where authority lies
 3. Matrix Structure - Dual reporting is key exam point
 4. Types of Departmentalization - Know all five types
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CHAPTER 3 MCQS

1. An organization that employs a multiple command system with associated culture is a:
 - a) Factory organization
 - b) Functional organization
 - c) Matrix organization ☒
 - d) All of the above
2. _____ refers to the number of subordinates a superior can effectively manage.
 - a) Span of control ☒
 - b) Tall structure
 - c) Short structure
 - d) Control ratio
3. TRUE or FALSE: Tactical and operational decisions should be centralized at local management level.
 - a) TRUE
 - b) FALSE ☒
4. AB Limited has structure focused on different lines of business (Consumer Products, Industrial, Retail, Customer Services). This is:
 - a) Matrix Organization
 - b) Narrow Organization
 - c) Functional Organization
 - d) Divisional Organization ☒
5. Which is true for Centralized decision making?
 - a) Decisions consider corporate objectives

- b) Key decisions coordinated effectively
- c) Easier in crisis
- d) All of the Above ☒

6. Advantage of centralization:

- a) Senior management decisions are always correct
- b) Key decisions coordinated more effectively ☒
- c) In crisis, management has no-one to answer to
- d) All of the above

7. Features of decentralization:

- a) Junior managers have better knowledge of operations
- b) Authority delegation motivates management
- c) Decisions made more quickly locally
- d) All of the above ☒

8. _____ is an unbroken line of authority from top to bottom.

- a) Chain reaction
- b) Chain of command ☒
- c) Hierarchy
- d) Span of control

9. Chain of command:

- a) Makes organization too complex
- b) Cannot exist in functional organization
- c) Clarifies who reports to whom ☒
- d) All of the above

10. Wide span of control with few management levels is a:

- a) Wide-flat structure ☒
- b) Tall-narrow structure
- c) Tall-flat structure
- d) Wide-short structure

11. A _____ organization groups people with comparable skills performing similar tasks.

- a) Matrix
- b) Functional ☒
- c) Geographic
- d) Complex

12. AZ Co. organized workforce based on expertise. This is:

- a) Divisional Organization
- b) Functional Organization ☒

- c) Matrix Organization
- d) Cannot be determined

13. TRUE or FALSE: Size and complexity influence centralization or decentralization.

- a) TRUE ☒
- b) FALSE

CHAPTER 4: SOURCES OF BUSINESS FINANCE

SUMMARY

FINANCIAL MANAGEMENT

- Art and science of managing company's funds
- Primary objective: Maximize company value for owners (share price)
- Key activities: Financial Planning, Investment, Financing

BALANCE SHEET STRUCTURE

Assets	Liabilities & Equity
Current Assets (short-term)	Current Liabilities (short-term)
Non-current Assets (long-term)	Non-current Liabilities (long-term)
	Shareholders' Equity

SHORT-TERM FINANCING (REPAYABLE WITHIN 1 YEAR)

- Trade Credit (Accounts Payable)
- Bank Loans
- Committed Lines of Credit
- Operating Leases
- Factoring/Discounting of Receivables

LONG-TERM FINANCING (REPAYABLE AFTER 1 YEAR)

Debt Financing:

- Term Loans
- Bonds
- Finance Lease

Equity Financing:

- Retained Earnings
- Issuing Shares

- Preference Shares

DEBT VS. EQUITY COMPARISON

Aspect	Debt	Equity
Management say	Creditors have none	Shareholders have voting rights
Right to income	Priority claim	Residual claim
Maturity	Stated maturity	No maturity date
Tax Treatment	Interest tax-deductible	Dividends not tax-deductible

PECKING ORDER THEORY

1. Retained earnings (internal)
2. Debt
3. New equity (last resort)

CONVENTIONAL VS. ISLAMIC BANKING

Aspect	Conventional	Islamic
Interest	Charged on loans	Prohibited (Riba)
Profit	Interest-based	Partnership/asset-based
Ethics	Profit-focused	Sharia-compliant
Contracts	Loans, mortgages	Murabaha, Ijara, Mudarabah, Musharakah

IMPORTANT ICAP EXAM CONCEPTS

1. Pecking Order Theory - Order of preference for financing
 2. Double Taxation - Tax treatment of debt vs. equity
 3. Islamic Banking Principles - Riba prohibition, profit sharing
 4. Types of Shares - Ordinary vs. Preference shares
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CHAPTER 4 MCQS

1. _____ management is the art and science of managing a company's funds.
 - a) People
 - b) Revenue
 - c) Financial ☒
 - d) Data
2. Features of efficient capital structure include:
 - i. Balance between short and long-term funding
 - ii. Adequate cash for day-to-day expenses
 - iii. Balance between equity and debt
 - a) i only
 - b) i and iii only
 - c) ii only
 - d) i, ii and iii ☒
3. Role of a financial manager:
 - a) Maximize value of business for shareholders ☒
 - b) Organize finance department
 - c) Manage salaries and overheads
 - d) None of the above
4. TRUE or FALSE: Revenue from sales should be primary funding source, but doesn't always come in when required.
 - a) TRUE ☒
 - b) FALSE
5. Reasons for external funding:
 - a) Expand into new markets
 - b) Research & development
 - c) Competitive campaigns
 - d) All of the above ☒
6. Sources of finance can be classified based on time duration.
 - a) TRUE ☒
 - b) FALSE
7. Key activities of financial manager:
 - a) Financial planning
 - b) Investing funds
 - c) Financing (raising funds)
 - d) a, b and c ☒

8. Preference shares often do not have voting rights and can be converted to common shares.

- a) TRUE ☒
- b) FALSE

9. Which is NOT a feature of preference shares?

- a) Fixed rate dividend
- b) Dividends from after-tax profits
- c) Receive dividends before ordinary shareholders
- d) Paid after equity shareholders in liquidation ☒

10. Which is a feature of preference shares?

- a) Variable rate dividend
- b) Dividends from after-tax profits ☒
- c) Not entitled to dividends
- d) a and c

11. Key characteristic of Islamic banking:

- a) Earning interest on loans
- b) Interest-based transactions
- c) Profit through profit-and-loss sharing ☒
- d) No ethical guidelines

12. In conventional banking, profit is generated by:

- a) Partnerships with clients
- b) Charging interest on loans ☒
- c) Asset-backed financing only
- d) Avoiding speculative markets

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CHAPTER 5: INFORMATION SYSTEMS

SUMMARY

INFORMATION SYSTEM (IS)

- Collects and processes data into meaningful information
- Supports planning, controlling, recording, performance measurement, decision-making

KEY ELEMENTS OF INFORMATION SYSTEMS

Data - Raw, unorganized facts

Database - Electronic filing system

DBMS - Software to manage database (Hierarchical, Network, Relational, Object-Oriented)

Networks - Connect computers to share data (LAN, WAN, Internet, VPN)

Integration - Linking all modules together

Security & Privacy - Protecting data from unauthorized access

TYPES OF INFORMATION SYSTEMS

Type	Purpose	Users
TPS (Transaction Processing System)	Process routine transactions	Operational level
MSS (Management Support System)	Generate reports	Middle management
DSS (Decision Support System)	Support analysis and decisions	Middle/Tactical
EIS (Executive Information System)	Strategic decision support	Senior/Executive
ES (Expert System)	Simulate expert judgment	Various

DATA PROCESSING METHODS

- Batch Processing: Group similar transactions, process together
- Real-time Processing: Process as they occur

LEVELS OF INFORMATION SYSTEMS

Level	Decision Type	IS Type
Senior	Strategic (unstructured)	EIS
Middle	Tactical (semi-structured)	MIS, DSS
Operational	Operational (structured)	TPS

ERP SYSTEMS IN PAKISTAN

- Small Firms: QuickBooks
- Medium Firms: SAP Business One, Microsoft Dynamics 365, Odoo
- Large Firms: SAP S/4HANA, Oracle ERP Cloud

IMPORTANT ICAP EXAM CONCEPTS

1. TPS vs. DSS vs. EIS - Know which is used at which level
2. Batch vs. Real-time Processing - Key differences

- 3. ERP Systems - Cross-functional integration
 - 4. VPN - Security measure for networks
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CHAPTER 5 MCQS

1. Which is NOT part of Information Technology (IT)?
 - a) Computers and networks
 - b) Television and radio
 - c) Telecommunications equipment
 - d) Traditional paper-based filing systems ✓
2. Key function of Information Systems in organizations:
 - a) Focus solely on hardware
 - b) Support operations, management, and decision-making ✓
 - c) Limit technology to specific departments
 - d) Reduce need for communication technologies
3. Benefit of effective information technology use:
 - a) Reducing revenue
 - b) Increasing customer dissatisfaction
 - c) Reducing expenses and increasing earnings ✓
 - d) Decreasing product variety
4. Business data is processed into:
 - a) Ideas
 - b) Meaningful and useful information ✓
 - c) Data storage units
 - d) Basic facts
5. Batch processing involves:
 - a) Processing transactions one by one in real-time
 - b) Collecting similar transactions and processing together ✓
 - c) Storing without processing
 - d) Rejecting transactions based on rules
6. DBMS function:
 - a) Only stores data but does not organize
 - b) Acts as interface between user and database ✓
 - c) Processes large amounts offline
 - d) Eliminates need for data retrieval
7. Feature of high-end ERP systems:
 - a) Real-time processing and advanced analytics ✓

- b) Storing customer feedback
- c) Only managing email communications
- d) Limited processing capacity

8. Key feature of real-time processing:

- a) Store transaction before processing
- b) Update master files immediately ☒
- c) Master instrument for character recognition
- d) Magnetic illustrator for complex results

9. Application using real-time processing:

- a) Airline information system ☒
- b) Monthly payroll processing
- c) Inventory batch updates
- d) Archiving customer data

10. Most businesses use computer networks:

- a) To store data locally
- b) To deliver information to employees, suppliers, and customers ☒
- c) To control hardware functions
- d) To avoid using internet

11. Best-known computer network:

- a) Local Area Network
- b) The internet ☒
- c) Cloud storage
- d) Virtual private network

12. Primary purpose of VPN:

- a) Increase internet speed
- b) Connect private networks over public network securely ☒
- c) Replace all networking equipment
- d) Provide free internet access

13. Senior-level users make:

- a) Operational decisions
- b) Unstructured, strategic decisions ☒
- c) Tactical decisions
- d) Daily routine decisions

14. Primary tasks in financial accounting and reporting:

- a) Managing employee payroll
- b) Creating marketing strategies

- c) Maintaining accounting records for transactions 
 - d) Product research and development
-

CHAPTER 6: BUSINESS ETHICS

SUMMARY

ETHICS DEFINITIONS

- Ethics: Discipline dealing with good/bad, moral duty
- Business Ethics: Moral principles guiding what's right/wrong in workplace
- Corporate Social Responsibility (CSR): Conducting business ethically with sensitivity to social, cultural, economic, and environmental issues

ETHICAL ISSUES

1. Taking things that don't belong to you
2. Saying things you know are not true
3. Giving false impressions
4. Buying influence/conflict of interest
5. Hiding or divulging information
6. Taking unfair advantage
7. Improper personal behavior
8. Abusing power/mistreating individuals
9. Abusive/intimidating behavior
10. Organizational abuse
11. Violating rules
12. Condoning unethical actions
13. Misuse of organization time

CORPORATE SOCIAL RESPONSIBILITY (CSR) PRINCIPLES

1. Operate ethically with integrity
2. Treat employees fairly
3. Respect human rights
4. Play responsible role in community
5. Sustain environment

ICAP CODE OF ETHICS - 5 FUNDAMENTAL PRINCIPLES

Principle	Description
Integrity	Straightforward and honest
Objectivity	Not compromise due to bias/conflict
Professional Competence	Maintain knowledge and skills

Confidentiality	Respect information acquired
Professional Behavior	Comply with laws, avoid discrediting profession

CONSEQUENCES OF UNETHICAL BEHAVIOR

- Fines and penalties
- Imprisonment
- Reputational risk
- Government action
- Bankruptcy

IMPORTANT ICAP EXAM CONCEPTS

1. Five Fundamental Principles - Must memorize for exam
 2. Conflict of Interest - Key ethical issue
 3. CSR Principles - Five aspects
 4. Code of Ethics - Must be endorsed from top, training given, kept updated
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CHAPTER 6 MCQS

1. _____ is the discipline dealing with what is good and bad and with moral duty.
 - a) Ethics 
 - b) Business Ethics
 - c) Legal Ethics
 - d) Corporate Social Responsibility
2. _____ is a set of moral principles guiding what is right/wrong in the workplace.
 - a) Ethics
 - b) Business Ethics 
 - c) Legal Ethics
 - d) Corporate Social Responsibility
3. _____ is conducting business ethically with sensitivity to social, cultural, economic, and environmental issues.
 - a) Ethics
 - b) Business Ethics
 - c) Legal Ethics
 - d) Corporate Social Responsibility 
4. Ethically speaking, a car dealer can sell a car without disclosing an accident if repaired and tested.

- a) TRUE
- b) FALSE ☒

5. A builder can bribe Building Control Authority to build extra floors if committed to buying ambulances.

- a) TRUE
- b) FALSE ☒

6. XYZ hired underage students below minimum wage believing it's social responsibility to help families.

- a) TRUE
- b) FALSE ☒

7. Best course of action for a job vacancy where a cousin is qualified:

- a) Talk to HR to give priority
- b) Ensure she gets the position by speaking to colleagues
- c) Ask cousin to apply online using your name as referral ☒
- d) Tell her to join for breakfast in office

8. Which statement is true in testing ethical decision-making?

- a) Select only if mirror test is cleared ☒
- b) Select without considering mirror test
- c) Select if legality is not obvious
- d) Select if shareholders' value maximization is certain

9. Which is NOT an advantage of being socially responsible?

- a) Bolsters image and brand
- b) Empowers employees
- c) Contributes to employee morale
- d) Cannot help in attracting/retaining customers ☒

10. Examples of socially responsible activities:

- a) Environmental efforts
- b) Volunteering
- c) Both (a) and (b) ☒
- d) None of the above

11. Which statement is NOT True?

- a) Evidence for reputation risk is conclusive ☒
- b) Environmental efforts is primary focus of CSR
- c) Mirror testing is technique for ethical decision-making
- d) Avoiding conflict of interest is business ethics consideration

12. Organizations exposed to reputation risk:

- a) Accused of buying from suppliers using child labor
- b) Accused of polluting environment
- c) All of the above ✓
- d) None of the above

13. Which are NOT key consequences of unethical behavior?

- a) Labour practices
- b) Conflict of interest
- c) All of the above
- d) None of the above ✓

14. Which is True for corporate code of ethics?

- a) May be formal or informal
- b) In UK very few organizations have it
- c) Cannot train people
- d) Strongly endorsed from the top ✓

15. ICAP code of ethics requires:

- a) Professional competence
- b) Integrity
- c) Confidentiality
- d) All of the above ✓

16. Organizations can reduce potential for ethical consequences by:

- a) Educating employees
- b) Leading through example
- c) All of the above ✓
- d) None of the above

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CHAPTER 7: CONCEPTS OF BRANDING AND MARKETING

SUMMARY

MARKETING CONCEPT

- Focuses on customer needs and wants
- Integrates all organizational activities
- Achieves long-term goals by satisfying customers

THE 5 PS OF MARKETING MIX

P	Description
Product	Goods, services, or ideas offered

Price	Value exchanged for product
Place	Distribution - making products available
Promotion	Informing and influencing customers
People	Employees supporting marketing strategies

PRODUCT TYPES

Consumer Products:

- Convenience Products (purchased frequently - milk, newspapers)
- Shopping Products (compared quality/price - furniture, appliances)
- Specialty Products (unique/desirable - luxury watches)

Industrial Products:

- Raw Materials (unprocessed)
- Manufactured Parts (components)
- Capital Items (plant, machinery)
- Supplies (consumables)

BRANDING

- Identifying and differentiating products from competitors
- Trademark: Legally protected identifier
- Key Elements: Positioning, Attributes, Elements, Ownership, Personality, USP, Image

MARKETING VS. SELLING

Aspect	Marketing	Selling
Focus	Customer needs	Product
Approach	Broad, long-term	Narrow, short-term
Horizon	Long-term	Short-term
Priority	Build relationships	Close deals
Identity	Brand identity	Individual interaction

IMPORTANT ICAP EXAM CONCEPTS

1. 5 Ps of Marketing - Must memorize all five
2. Product Classifications - Consumer vs. Industrial products

3. Branding Elements - Know key components

4. Marketing vs. Selling - Key differences

CHAPTER 7 MCQS

1. _____ is a systematic approach to satisfying consumers' needs.

- a) Selling
- b) Branding
- c) Accounting
- d) Marketing ☒

2. Marketing focuses on many activities including _____ that foster exchanges.

- a) Planning & Pricing ☒
- b) Branding & Budgeting
- c) Marketing & Transporting
- d) Selling & Paying

3. Which is NOT included in marketing activities?

- a) Transporting
- b) Storing
- c) Grading
- d) Accounting ☒

4. Which is NOT a product classification?

- a) Goods
- b) Service
- c) Idea
- d) Relevance ☒

5. Characteristics of a product include:

- a) Name
- b) Adaptable
- c) All of the above ☒
- d) None of the above

6. Types of products include:

- a) Banking
- b) Manufacturing
- c) All of the above
- d) None of the above ☒

7. Convenience, shopping, and specialty products are sub-categories of:

- a) Industrial

- b) Banking
- c) Manufacturing
- d) Consumer ☒

8. Capital items and supplies are sub-categories of:

- a) Industrial ☒
- b) Banking
- c) Manufacturing
- d) Consumer

9. _____ is the intangible part of a product.

- a) Goods
- b) Service ☒
- c) Idea
- d) Relevance

10. A consumer who purchased an eBook on Kindle is a _____ buyer.

- a) Technical
- b) Advanced
- c) Contemporary
- d) Digital ☒

11. Industrial products have:

- a) Derived demand ☒
- b) Direct demand
- c) Local demand
- d) Foreign demand

12. Consumer products have:

- a) Many buyers ☒
- b) Limited buyers
- c) Local buyers
- d) Foreign buyers

13. Which is NOT a factor to describe a target market segment?

- a) Demography
- b) Geography
- c) Equality ☒
- d) Specialty

14. Traditionally the marketing mix has 4Ps. The 5th component is:

- a) Product
- b) Price

- c) All of the above
- d) None of the above ☒ (People is the 5th)

15. _____ is method of identifying products and differentiating them from competitors.

- a) Selling
- b) Competing
- c) Branding ☒
- d) Inspecting

16. A brand owner protects proprietary rights by:

- a) Selling the brand outright
- b) Registering the trademark ☒
- c) Sharing brand name without agreements
- d) Offering discounts

17. Most important element of branding for recognition:

- a) Company website
- b) Logo ☒
- c) Marketing strategy
- d) Product packaging

CHAPTER 8: HUMAN RESOURCE STRATEGIES

SUMMARY

HUMAN RESOURCE MANAGEMENT

- One of four factors of production
- Ensures human resources are available as required
- HR Plan typically covers 3-5 years

JOB ANALYSIS COMPONENTS

Job Description: Formal explanation of specific job (title, tasks, relationships, duties, responsibilities, conditions)

Job Specification: Qualifications and skills needed (education, experience, personal characteristics)

RECRUITMENT PROCESS

1. Identify job vacancy
2. Advertise (internal/external)
3. Obtain applications

SELECTION PROCESS (7 STEPS)

1. Initial Screening
2. Employment Tests
3. Selection Interview

4. Background/Reference Check
5. Physical/Medical Exams
6. Decision to Hire
7. Offer of Employment

TRAINING TYPES

On-the-Job Training:

- Orientation, Coaching, Mentoring, Job Instruction, Apprenticeships, Work Shadowing

Off-the-Job Training:

- Classroom lectures, Audio-visual, Seminars, Simulation, Case Studies, Online courses

EMPLOYEE RETENTION STRATEGIES

1. Well-defined career path
2. Competitive compensation
3. Positive work relationships
4. Job satisfaction
5. Work-life balance
6. Positive organizational environment
7. Recognition and feedback
8. Transparent reviews

EMPLOYEE TURNOVER

- When employees leave voluntarily or are dismissed
- Causes: Poor relationships, unchallenging work, financial issues, lack of flexibility
- Costly: Lost productivity, recruitment, training costs

IMPORTANT ICAP EXAM CONCEPTS

1. Job Description vs. Job Specification - Key difference
2. Recruitment vs. Selection - Quantity vs. Quality
3. On-the-Job vs. Off-the-Job Training - Location matters
4. Employee Retention Strategies - Know key approaches

CHAPTER 8 MCQS

1. Human resources cover:

- a) Full-time
- b) Part-time
- c) All of the above 
- d) None of the above

2. Which is NOT a responsibility of HR management?

- a) Assess current human resources
- b) Estimate future needs

- c) Encourage low performers to leave ✓
- d) Consider ways to fill the gap

3. Ideal duration of a human resource plan:

- a) Three to five years ✓
- b) Three to seven years
- c) Below three years
- d) Over three years

4. Which is NOT covered in a human resource plan?

- a) Staff recruitment
- b) Performance appraisal
- c) Marketing campaign ✓
- d) Redundancy

5. Human resource plans should be _____ and consider environmental factors.

- a) Simplistic
- b) Critical
- c) Realistic ✓
- d) Idealistic

6. Purpose of job analysis includes:

- a) Job description
- b) Job specification
- c) All of the above ✓
- d) None of the above

7. Which is NOT a stage of recruitment?

- a) Agree the vacancy
- b) Select the candidate ✓
- c) Identify the skills
- d) Obtain applications

8. Which is NOT a stage of selection?

- a) Agree the vacancy ✓
- b) Select the candidate
- c) All of the above
- d) None of the above

9. Requesting a candidate's credit check is part of:

- a) Recruitment
- b) Selection ✓
- c) Development

- d) Retention

10. Which is NOT a tool of training?

- a) CBT
- b) SAT ☒
- c) All of the above
- d) None of the above

11. Which is NOT on-the-job training?

- a) Orientation
- b) Job instruction manuals
- c) Simulation ☒
- d) Apprenticeships

12. Which is a tool of development?

- a) Secondment
- b) Delegation
- c) All of the above ☒
- d) None of the above

13. Generally NOT a reason for employee leaving:

- a) Financial instability of company
- b) Bad relationship with manager
- c) Bad relationship with secretary ☒
- d) Boring work

14. Which is NOT included in annual package?

- a) Bonus
- b) EPF
- c) Air Tickets
- d) Appraisals ☒

15. Employee turnover is defined as:

- a) Staff joining the job
- b) Staff leaving the job ☒
- c) Staff increasing revenue turnover
- d) Staff increasing sales turnover

EXAM TIPS FOR ICAP PRC 3

KEY TOPICS TO FOCUS ON

1. Stakeholders - Classification and interests (Chapter 1)
2. Business Ownership Types - Advantages/disadvantages (Chapter 2)

3. Organizational Structures - Types and elements (Chapter 3)
4. Sources of Finance - Short vs. Long term, Debt vs. Equity (Chapter 4)
5. Information Systems - TPS, MIS, DSS, EIS levels (Chapter 5)
6. ICAP Code of Ethics - Five fundamental principles (Chapter 6)
7. Marketing Mix - 5 Ps with examples (Chapter 7)
8. HR Processes - Recruitment, Selection, Training (Chapter 8)

COMMON EXAM QUESTIONS

- Definitions: Vision, Mission, Ethics, CSR, Branding
- Comparisons: Debt vs. Equity, Marketing vs. Selling, On/Off-job training
- Structures: Matrix, Functional, Divisional
- Stakeholders: Who they are and what they want
- Ethics: Case scenarios applying ICAP principles
- Finance: Types of financing and their features

TIME MANAGEMENT

- 8 chapters, approximately 15-20 MCQs per chapter = ~120-160 MCQs

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- Focus on understanding concepts rather than memorizing
- Practice with case scenarios, especially for ethics and stakeholders